FINANCE DEPARTMENT

Mantralaya, Mumbai 400 032. dated the 13th February, 2006.

MAHARASHTRA FISCAL RESPONSIBILITY AND BUDGETARY MANAGEMENT RULES, 2006

NOTIFICATION

No. TFC/1005/CR 28/2005 F.C. Desk.—In exercise of the powers conferred by section 7 of the Maharashtra Fiscal Responsibility and Budgetary Management Act, 2005 (Mah. Act No. XVI of 2005) and of all other powers enabling it in that behalf, the Government of Maharashtra hereby makes the following rules, namely :—

1. **Short title and commencement.**—(*a*) These rules may be called the Maharashtra Fiscal Responsibility and Budgetary Management Rules, 2006.

(*b*) They shall come into force with immediate effect.

2. **Definitions.**—In these rules, unless the context otherwise requires,—

(*a*) "Act" means the Maharashtra Fiscal Responsibility and Budgetary Management Act, 2005;

(*b*) "Contingent Liabilities" mean outstanding guarantees given by the State Government for borrowings by Public Sector Undertakings and Special Purpose Vehicles and other equivalent instruments for which the State Government may be called upon to make payment in case of default by the borrowing organizations;

(*c*) "Current Year" means the year preceding the year for which the budget and medium term fiscal policy are being presented;

(*d*) "Debt Stock" means the total debt outstanding at the end of the financial year;

(*e*) "Ensuing Year" means the year for which the budget is being presented;

(*f*) "Form" means a form appended to these rules;

(*g*) "GSDP" means Gross State Domestic Product at current prices;

(*h*) "Off-Budget Borrowings" mean non-budgetary receipts that need to be serviced by way of interest and principal repayment directly from the budget and in which the liability is not contingent in nature;

(*i*) "Previous Year" means the year preceding the current year;

(*j*) "Section" means a section of the Act;

(*k*) Words and expressions used in these rules but not defined shall have the meanings respectively assigned to them in the Act.

3. **Annual targets.**—In order to eliminate the revenue deficit and reduce the fiscal deficit to 3% of the GSDP by the 31st day of March 2009, the State Government specifies the following targets for reduction of the revenue and fiscal deficits as required by sub-sections (*1*) and (*2*) respectively, of section 5:—

(*a*) The State Government shall reduce the revenue deficit by 1.0 per cent or more of the GSDP in the first year, 1.5 per cent or more in the first two years, 2 per cent or more in the first three years, beginning from the financial year 2005-2006, and the entire deficit by 2008-09. The State shall maintain a revenue surplus thereafter.

(*b*) The State Government shall reduce the fiscal deficit by an amount equivalent to 0.3 per cent or more of the GSDP at the end of each financial year beginning with the financial year 2005-2006 until the fiscal deficit is brought down to not more than 3% of the GSDP. The fiscal deficit in 2008-09 and thereafter shall not exceed 3% of GSDP.

4. **Exceptional Grounds.**— The exceptional grounds mentioned in the first proviso to sub-section (2) of section 5 shall include civil disturbances, war, accidents of large magnitude and the like, as the other exceptional grounds for the purposes of section 5.

5. **Fiscal Indicators.**— The fiscal indicators under sub-section (*d*) of section 2 shall consist of :—

(*a*) Fiscal Deficit

(*b*) Revenue Deficit

(*c*) Debt Stock

(*d*) Contingent Liabilities

(*e*) Interest as a percentage of Revenue Receipts.

Explanation.— For the purposes of this rule —

(*i*) For calculating the Fiscal Deficit, Off-Budget Borrowings during the year, which need to be serviced by way of interest and principal repayment by the State Government, shall be taken into account.

(*ii*) For the purpose of calculating the Revenue Deficit, revenue expenditure shall include the interest payable on Off-Budget Borrowings.

(*iii*) The Debt Stock shall include the Off-Budget Debt Stock.

(*iv*) Interest shall include interest paid on Off-Budget Debt Stock.

6. **Medium Term Fiscal Policy Statement.**— In the Medium Term Fiscal Policy Statement, required by sub-section (*1*) of section 3, three year rolling targets for the fiscal indicators mentioned in Rule 5 shall be in Form A-1.

7. **Fiscal Policy Strategy Statement.**— The Fiscal Policy Strategy Statement required by sub-section (*1*) of section 3, shall be in Form A-2.

8. **Disclosures.**— (1) In order to ensure greater transparency in its fiscal operations in the public interest, the State Government shall, at the time of presenting the annual financial statement and demands for grants, make disclosures of the following :—

(*a*) Any significant change in accounting standards, policies and practices affecting or likely to affect the computation of prescribed fiscal indicators.

(*b*) Statements of receivables in Forms B-1 to B-2.

(*c*) A statement of guarantees given by the State Government in Form B-3.

(*d*) A statement on the number of employees and salary expenditure in Form B-4.

(*e*) A statement of State Government expenditure in Form B-5.

(*f*) A statement of components of the State Government's liabilities in Form B-6.

(*g*) A statement on liability in respect of major works and contracts, claims on the State Government in respect of unpaid bills on works and supplies, and arrears of grants payable to various institutions including Panchayati Raj Institutions in Form B-7.

(*h*) A statement on quality of investments based on outcomes in Form B-8.

(2) The provisions of sub-rule (1) shall be complied with, not later than the presentation of the budget for the financial year 2007-08.

9. **Measures to Enforce Compliance.**— In case the outcome of the quarterly review of trends in receipts and expenditure made under sub-section (*1*) of section 6, at the end of second quarter of any financial year beginning with the financial year 2006-2007 shows that :—

(*a*) the total non-debt receipts are less than 40 per cent of Budget Estimates for that year; or

(*b*) the fiscal deficit is higher than 45 per cent of the Budget Estimates for that year, or

(*c*) the revenue deficit is higher than 45 per cent of the Budget Estimates for that year, then:—

(*i*) as required by sub-section (*2*) of section 6, the State Government shall take appropriate corrective measures; and

(*ii*) as required by sub-section (*3*) of section 6, the Minister-in-charge of the Ministry of Finance shall make a statement in both Houses of State Legislature during the session immediately following the end of the second quarter detailing the corrective measures taken, the manner in which any supplementary demands for grants are proposed to be financed and the prospects for the fiscal deficit of that financial year.

FORM A-1
(*See* Rule 6)
Medium Term Fiscal Policy Statement

A. **Fiscal Indicators.— Rolling Targets:**

Item	Previous Years Actuals		Current Year Budget Estimates (BE)	Current Year Revised Estimates (RE)	Ensuing Year Budget Estimates (BE)	Targets for next 2 Years	
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
	Y-3	Y-2	Y-1	Y-1	Y	Y+1	Y+2
1. Revenue Deficit as percentage of GSDP.							
2. Fiscal Deficit as percentage of GSDP.							
3. Tax Revenue as percentage of GSDP.							
4. Total Debt Stock as percentage of GSDP.							
5. Total Contingent Liabilities as percentage of GSDP.							
6. Interest Payment as percentage of Revenue Receipts							

B. **Assumptions underlying the Fiscal Indicators :**

1. **Revenue receipts.—**

(*a*) Tax revenue—Sectoral and GSDP growth rates
(*b*) Non-tax revenue—Policy stance
(*c*) Devolution from Central Government
(*d*) Share of own tax revenue to total tax revenue.
(*e*) Share of own non-tax revenue to total non-tax revenue

2. **Capital receipts.**—Debt stock, repayment, fresh loans and policy stance —

(*a*) Loans and advances from Central Government

(*b*) Special securities issued to the NSSF

(*c*) Recovery of loans and advances

(*d*) Borrowings from financial institutions

(*e*) Other receipts (net) – Small Savings, Provident Funds, etc.

(*f*) Outstanding liabilities – Internal debt and other liabilities.

3. **Total expenditure.**—Policy stance —

(*a*) Revenue account—

(*i*) Interest payments – (*a*) on borrowings during the year; (*b*) on outstanding liabilities

(*ii*) Major subsidies

(*iii*) Salaries

(*iv*) Pensions

(*v*) Others.

(*b*) Capital account—

(*i*) Loans and advances

(*ii*) Capital outlay.

4. **GSDP Growth.**

C. **Assessment of sustainability relating to :**

(*i*) **The balance between receipts and expenditure in general and revenue receipts and revenue expenditure in particular.**— The Medium Term Fiscal Policy Statement may specify the tax-GSDP ratio, own tax-GSDP ratio and State's share in Central tax-GSDP ratio for the current year and subsequent two years with an assessment of the changes required for achieving it. It may discuss the non-tax revenues and the policies concerning the same. Expenditure on revenue account, both plan and non-plan, may also be discussed with particular emphasis on the measures proposed to meet the overall objectives. It may discuss policies to contain expenditure on salaries, pensions, subsidies and interest payments. An assessment of the capital receipts may be made, including the borrowings and other liabilities as per policies spelt out.

The statement may also give projections for GSDP and discuss it on the basis of assumptions underlying the indicators.

(*ii*) **The use of capital receipts including market borrowings for generating productive assets.**—The Medium Term Fiscal Policy Statement may specify the proposed use of capital receipts for generating productive assets in different categories. It may also spell out proposed changes among these categories and discuss them in terms of the overall policy of the State Government.

(*iii*) **The estimated yearly pension liabilities worked out on actuarial basis for the next ten years.**—In case it is not possible to calculate the pension liabilities on actuarial basis during the period of first three years after the coming into force of this Act, the Government may, during that period estimate the pension liabilities by making forecasts on the basis of trend growth rates (i.e. the average rate of growth of actual pension payments during the last three years for which data is available).

FORM A- 2

(*See* Rule 7)

Fiscal Policy Strategy Statement

A. **Prospects of the State's Economy and Fiscal Policy Overview.**— (This paragraph will present prospects for the state's economy and an overview of the fiscal policy.)

B. **Fiscal policy for the ensuing financial year.**— (This paragraph shall have five sub-paragraphs dealing with the topics mentioned below)

(1) *Tax Policy.*— (In the sub-paragraph on tax policy, major changes proposed to be introduced in direct and indirect taxes in the ensuing financial year will be presented.)

(2) *Expenditure Policy.*— (Under expenditure policy, major changes proposed in the allocation of expenditure shall be indicated. It shall also contain an assessment of principles regarding the benefits and target group of beneficiaries.)

(3) *Government Borrowing Lending and Investments.*— (In this sub-paragraph on Government borrowings, the policy relating to internal debt, external debt, Government lending, investments and other activities; including principles regarding average maturity structure, bunching of repayments, etc., shall be indicated.)

(4) *Contingent and other Liabilities.*— (Any change in the policy on contingent and other liabilities and in particular guarantees which have potential budgetary implications shall be indicated.)

(5) *Levy of User Charges.*— (Any change proposed in the levy of user charges of public services shall be spelt out.)

C. **Strategic priorities for the ensuing year.**— (1) Resource mobilization for the ensuing financial year through tax, non-tax and other receipts shall be spelt out.

(2) The broad principles underlying the expenditure management during he ensuing year shall be spelt out.

(3) Priorities relating to management of public debt proposed during he ensuing year shall be indicated.

D. **Rationale for policy changes.**— (1) The rationale for policy changes consistent with the Medium Term Fiscal Policy Statement, in respect of direct and indirect taxes proposed in the ensuing Budget shall be spelt out.

(2) The rationale for major policy changes in respect of budgeted expenditure including expenditure on subsidies and pensions shall be indicated.

(3) Rationale for changes, if any, proposed in the management of public debt shall be indicated.

(4) The need for changes, if any, proposed in respect of pricing of administered goods shall be spelt out.

E. **Targets for the ensuing year.**— (At the end of the second quarter, a mid-year assessment shall be made of the trends in receipts and expenditures and achievement of targets of deficit reduction in relation to Budget Estimates. In case the total non-debt receipts are less than 40 percent of Budget Estimates for that year; or the fiscal deficit is higher than 45 percent of the Budget Estimates for that year; or the revenue deficit is higher than 45 percent of the Budget Estimates for that year, the State Government shall take action as required, under sub-sections (2) and (3) of section 6.)

F. **Policy evaluation.**— (This paragraph shall contain an evaluation of the changes proposed in the fiscal policy for the ensuing year with reference to fiscal deficit reduction and objectives set out in the Medium Term Fiscal Policy Statement.)

FORM B-1

[*See* Rule 8 (1b)]

Tax Revenues raised but not realised (Principal Taxes)

Major Head	Description	Amounts under dispute					Amounts not under dispute					Grand Total
		Over one year but less than two years	Two years and above but less then 5 years	Five years and above but less then ten years	Ten years and above	Total	Over one year but less than two years	Two years and above but less then 5 years	Five years and above but less then ten years	Ten years and above	Total	
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)
	Taxes on Professions, Trades and Employment											
	Land Revenue											
	Other Taxes/ Revenues Collected by Revenue Department such as Entertainment Tax, Minor Minerals, etc.											

(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)
	Stamps and Registration Fees											
	Sales Tax/ VAT including taxes on Motor Spirits and Lubricants											
	Central Sales Tax											
	State Excise											
	Taxes on Vehicles and Passengers											
	Electricity Duties											
	Other Taxes											
	Total											

Note.—The outstanding amount pertains to the end-March figure for the previous year

FORM B-2

[*See* Rule 8 (1*b*)]

Arrears of Non-Tax Revenue

Major Head	Description	Amounts pending (Rs. Crore)				
		Less than one year	One year and above but less than two years	Two years and above but less than five years	Five years and above	Total
(1)	(2)	(3)	(4)	(5)	(6)	(7)
	Fiscal Services					
	Interest Receipts					
	From Departmental Commercial Undertakings					
	From Public Sector & other Undertakings					
	Dividends and Profit					
	General Services					
	Police Receipts					
	Economic Services					
	Royalty Receipts					
	Other Receipts					
	Total					

Note.— The outstanding amount pertains to the end-March figure for the previous year.

FORM B-3

[*See* Rule 8(1c)]

Guarantees given by the Government

Class (No. of guarantees within brackets)	Maximum amount guaranteed during the year (Rs. crore)	Outstanding at the beginning of the previous year (Rs. crore)	Additions during the year (Rs. crore)	Deletions (other than invoked) in the year (Rs. crore)
(1)	(2)	(3)	(4)	(5)

Invoked during the year (Rs. crore)		Outstanding at the end of the year (Rs. crore)	Guarantee commission or fee (Rs. crore)		Other material details
Discharged	Not Discharged		Receivable	Received	
(6)	(7)	(8)	(9)	(10)	(11)

Note.— The year in the above table refers to the previous year.

FORM B-4

[*See* Rule 8(1*d*)]

Statement on the Number of Employees and Salary Expenditure

Category of Employees	Number of Employees	Salary Expenditure
(1)	(2)	(3)
Government		
Government Aided Institutions.		
Public Sector Units		
Total		

Note.— The above information pertains to the end-March figure for the previous year.

FORM B-5

[*See* Rule 8(1*e*)]

Statement of Government Expenditure (in crore)

Object Head/Object of Expenditure	Previous Year Actuals (Y-2)	Current Year RE (Y-1)	Ensuing Year BE (Y)
(1)	(2)	(3)	(4)
1. Salaries			
2. Wages			
3. Travel Expenses			
4. Travelling Allowance/Dearness Allowance to Non-Officials			
5. Office Expenses			
6. Petrol, Oil, Lube (POL) Expenses			
7. Rent Rates			
8. Publications			
9. Advertising			
10. Hospitality			
12. Professional & Special Services			
15. Clothing & Tents			
16. Arms & Ammunition			
17. Rewards			
18. Payment of Grants			
19. Secret Service Expenses			
20. Other Charges			
21. Maintenance of Works			
22. Depreciation			
23. Interest			
24. Dividend			
26. Write-off Losses			
27. Lands			
28. Buildings			
29. Compensation			

(1)	(2)	(3)	(4)
30. Motor Vehicles			
31. Tools & Plants			
32. Machinery & Equipment			
33. Materials & Supplies			
35. Investments			
36. Minor Works			
37. Major Works			
38. Pensions			
39. Gratuities			
40. Scholarships			
41. Grants-in-aid (salary)			
41. Grants-in-aid (non-salary)			
42. Contributions (non-salary)			
43. Subsidies (salary)			
43. Subsidies (non-salary)			
47. Advances			
48. Loans			
49. Inter Account Transfers			
50. Livestock			
51. Diet Charges			
52. Off Day Compensation			
53. Purchase of Milk			
54. Computer Expenses			
79. Suspense			
80. Lump-sum Provision			
Net Total :			

FORM B-6

[*See* Rule 8(1*f*)]

Components of Government Liabilities

(Rs. crore)

No.	Category	Raised during the the Fiscal Year		Repayment/ Redemption during the Fiscal Year		Outstanding Amount (End-March)	
		Previous year, Y-2 (Actuals)	Current year, Y-1 (RE)	Previous year, Y-2 (Actuals)	Current year, Y-1 (RE)	Previous year, Y-2 (Actuals)	Current year, Y-1 (RE)
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
1	Market Borrowings						
2	Loans from Centre						
3	Special Securities issued to the NSSF						
4	Borrowings from Financial Institutions/Banks						
5	Ways and Means/OD from RBI						
6	Small Savings Provident Funds, etc.						
7	Reserve Deposits						
8	Off-Budget Borrowings						
9	Other Liabilities						
	Total						

FORM B-7

[*See* Rule 8 (1*g*)]

Miscellaneous Liabilities Outstanding

(in crore)

Item Description (1)	Out Standing Amount in Previous Year (Y-2) (2)	Out of column (2) Amount Provided for in Current Year (Y-1) (3)	Out of column (2) Amount Provided for in Ensuing (Y) (4)
1. Major Works and Contracts			
2. Claims in respect of unpaid bills on works and supplies			
3. Arrears of grants payable to various institutions including Panchayati Raj Institutions.			

FORM B-8

[*See* Rule 8(1h)]

Quality of Investments Based on Outcomes (Rs. Crore)

No.	Sector	Indicator	Total Amount Spent/ Received in Previous Year (Y-1)	Total Units in Previous Year (Y-1)	Amount Spent/ Received Per Unit in Previous Year (Y-1)	Description of Units/Remarks
(1)	(2)	(3)	(4)	(5)	(6)	(7)
1	Roads	Amount spent per unit of asphalting				Lane kilometers resurfaced
2		Amount spent per unit of water-bound macadam				
3		Amount spent per unit of cement concrete				
4	Irrigation	Amount spent per unit of additional water storage created				Additional water storage created in million meter cube
5		Amount spent on increasing command area				Command area increased in hectares
6.	Forestry	Revenue generated per 1000 Hectares of forest land				
7	Buildings	New area made usable as a ratio of amount spent*				New built up area made usable in square feet

(1)	(2)	(3)	(4)	(5)	(6)	(7)
8		No. of completed watersheds as a ratio of amount spent on watershed development				Number of watersheds completed during previous year
9	Watersheds	Total cumulative amount spent on completed watersheds				
10		Percentage of watersheds in progress completed	(Cumulative amount)	(Total project cost)		Ratio of the total cumulative amount spent on watersheds in progress to the total project cost of those watersheds.
11	Power	Power in units produced	-	-		
12		Power in units purchased	-	-		
13		Power in units billed	-	-		
14		Power in units collected	-	-		

Note.—* The amount here is the total amount spent on construction of buildings. The ratio calculated is new area made usable as a ratio of the amount spent

By order and in the name of the Governor of Maharashtra,

SANJAY AGARWAL,
Deputy Secretary to Government.